



Fundamentals of Human Resource Management (HRM1)

Module 5: Competency-Based HR

Competency-Based HR Systems

Lesson Notes

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What Is a Competency-Based HR System?

A competency-based human resource system is an approach to managing talent that focuses on identifying, developing, and evaluating the skills, knowledge, and behaviours, known as competencies, that employees need to succeed in their roles (McClelland, 1973). Rather than judging candidates and employees purely on qualifications or intelligence tests, this approach asks a more practical question: what does a person actually need to be able to do, and how well do they demonstrate it?

Two foundational documents sit underneath every competency-based system. A job description is a written statement outlining the key responsibilities, duties, performance standards, and supervisory responsibilities of a specific job. A job specification, by contrast, is a written statement outlining the minimum qualifications, skills, knowledge, and experience required of the person who holds that job, covering work experience, personal attributes, and sometimes physical requirements. The distinction is simple but important: a job description focuses on the job itself, while a job specification focuses on the person who fills it.

A Ugandan bank hiring a branch teller would use the job description to state that the role involves processing deposits, withdrawals, and customer queries at a counter. The job specification for the same role would state that the ideal candidate needs a diploma or degree in a business related field, basic numeracy and computer literacy, and demonstrated customer service experience.

Competency Frameworks and the Four Types of Competencies

A competency framework is a structured set of competencies that defines the skills, knowledge, and behaviours required for effective performance in a specific role, organisation, or industry (Spencer & Spencer, 1993). Rather than each manager deciding informally what a good employee looks like, a competency framework gives the whole organisation a shared, consistent standard to hire, train, and evaluate against.

Competencies are generally classified into four types. Core competencies are the must have skills required of every employee across the organisation, regardless of role, such as teamwork and communication. Behavioural competencies are typically interpersonal skills such as adaptability, problem solving, and communication under pressure. Functional competencies are specific to a particular role or function and are usually technical, such as accounting, computer programming, procurement, or teaching. Leadership competencies are the skills required to steer organisational strategy, such as decision making, strategic thinking, and people management (Boyatzis, 1982).

A Ugandan manufacturing company might require every employee, from the factory floor to head office, to demonstrate the core competency of teamwork, while only requiring the functional competency of machine maintenance from technical staff specifically, and reserving leadership competencies like strategic decision making for those being groomed for management roles.

Competency frameworks also connect directly to career development. A career is a sequence of work experiences, roles, and positions an individual undertakes over their lifetime, characterised by personal growth, a long term perspective spanning years or decades, personal fulfilment aligned with one's values and interests, and progression in expertise and responsibility. For a career to take shape, an individual needs a sector or field, an occupation or type of work, a specific role or job title, and a work environment with its own culture and values. Competency frameworks give employees a clear, visible path for how progression actually happens, rather than leaving career growth to guesswork or favouritism.

Reflect: Think of a role you are familiar with, whether through work, internship, or family. Which core, behavioural, functional, or leadership competency would you say matters most in that specific role, and why?

Why Competency-Based HR Matters, and How Competencies Are Assessed

Organisations adopt competency-based HR for several clear reasons: it improves organisational competitiveness by ensuring the right skills are in the right roles, it makes training more effective by targeting genuine skill gaps rather than generic content, it strengthens recruitment and selection by clarifying exactly what success in a role looks like, it supports better succession planning, it enhances employee engagement by making expectations clear, and it improves the overall fit between a person and their job, which tends to improve individual performance (Dessler, 2016).

Five main methods are used to assess competencies. Psychometric testing measures cognitive abilities, personality traits, and interests through standardised tests. Performance appraisals involve the regular assessment of an employee's job performance and how well they demonstrate required competencies. Three hundred and sixty degree feedback gathers input from multiple stakeholders, peers, subordinates, supervisors, and sometimes clients, using questionnaires that are then analysed to build a rounded picture of an employee's competencies. Assessment centres use exercises, simulations, and interviews, such as role plays or focus group discussions, to evaluate competencies in a realistic work setting, typically conducted by an assembled panel. Behavioural event interviews involve in depth interviews that collect specific examples of an employee's past experiences and behaviours, used to assess competencies such as problem solving and decision making, and are conducted by first identifying the competencies to be assessed, preparing open ended questions, and then recording and analysing the responses given.

A Ugandan telecom company promoting a customer service officer into a team leader role might use a behavioural event interview specifically to understand how that officer has previously handled conflict with a difficult customer, since past behaviour is often a stronger predictor of future performance than a generic personality test alone.

Reflect: *Of psychometric testing, performance appraisals, 360 degree feedback, assessment centres, and behavioural event interviews, which method do you think would be most practical for a small Ugandan organisation with limited HR resources?*

Implementing Competency-Based HR, and Its Challenges

Implementing a competency-based HR system generally follows five steps. First, conduct a job analysis and competency mapping exercise. Second, develop a formal competency framework. Third, integrate competencies into HR processes such as recruitment, appraisal, and training. Fourth, train managers and employees on how the framework works and what it means for them. Fifth, monitor and evaluate the system's effectiveness over time.

Throughout all five steps, it is important to involve stakeholders in developing competencies, review and update them regularly as roles evolve, use more than one assessment method rather than relying on a single tool, provide clear feedback to employees, and above all, ensure competencies remain aligned with the organisation's actual strategy.

Competency-based HR is not without real challenges. Defining genuinely relevant competencies is harder than it sounds, since it is easy to list generic traits that do not actually predict success in a specific role. Addressing competency gaps once identified requires real investment in training, not just documentation. Subjectivity in assessment remains a risk, particularly with methods like performance appraisals and behavioural interviews, where two different assessors might reach different conclusions about the same employee. The changing nature of work itself means competencies that mattered five years ago may already be outdated. Finally, ensuring equity and fairness across the assessment process is an ongoing responsibility, not a one time fix.

Closing thought for this module: a competency-based HR system only works when it is treated as a living framework, regularly reviewed and genuinely used, rather than a document written once and left untouched. The next module moves from competencies specifically into strategic HRM more broadly, along with the government reforms shaping HR practice within Uganda's public sector.